

DWS REIT Redemption Cap Exposes the Liquidity Gap in Nontraded Structures

RREEF Property Trust's 32.4% shortfall shows the tension between illiquid assets and quarterly exit promises.

The most important number in DWS Group's RREEF Property Trust filing is not the 32.4% shortfall on June redemption requests. It is the 5% quarterly NAV cap that caused it. That cap is not a bug. It is the structural tension at the heart of every nontraded REIT: the promise of quarterly liquidity against a portfolio of assets that cannot be sold on a quarterly timetable.

When redemptions exceed the cap, the math is simple. The fund cannot raise cash fast enough without selling assets at prices it does not want to accept. RREEF shareholders requested cash. The fund delivered 67.6% of what they asked for. The remaining 32.4% stayed locked inside a \$337 million portfolio of eight properties spread across retail, multifamily, industrial, and office.

The fund has sold two properties in the past year for a combined \$140,000 profit. That is not a liquidity strategy. It is a holding pattern. DWS added \$15 million of its own capital in February through a Class Z stock purchase, which allowed the fund to meet all redemption requests that month for the first time since 2024. That move bought time. It did not solve the structural problem.

The tension here is not unique to RREEF. Blackstone Real Estate Income Trust capped redemptions in 2022 and cleared its backlog by March 2024. Starwood Capital Group fully halted redemptions in April 2026, with Barry Sternlicht arguing the pause was needed to preserve the opportunity for better outcomes. The industry narrative has been that the redemption backlog is largely cleared. The RREEF filing is a reminder that the pressure has not disappeared.

It has concentrated in smaller funds with thinner liquidity buffers. RREEF raised roughly \$498 million from investors since 2013. It now holds \$337 million in assets. The gap between capital raised and current NAV is not a loss. It is a measure of how much cash has already been returned or redeemed.

The remaining investors are holding a portfolio that is 97.4% leased and valued at \$444.8 million, but the fund ended the first quarter with a \$425,000 net loss. The portfolio is generating income, but not enough to cover the operating and administrative costs at this scale. The economics of a small nontraded REIT are unforgiving. Fixed costs of management, reporting, and compliance do not shrink proportionally with asset size.

When redemptions shrink the fund, the expense ratio rises. That compresses returns. That encourages more redemptions. The cycle is self-reinforcing. Who benefits from this structure? The sponsor. DWS Group, majority-owned by Deutsche Bank, manages roughly \$1.1 trillion in assets. RREEF is a rounding error on that balance sheet. The parent company has the capacity to support the fund, as it did with the February capital injection.

But that support is discretionary, not structural. The fund cannot rely on it indefinitely. Who is exposed? The remaining shareholders. They are holding an illiquid position in a fund that is shrinking, with a portfolio that is diversified across property types but not deep enough to absorb a wave of redemptions without selling assets at distressed prices. The 5% quarterly cap protects the fund from a forced sale.

It does not protect the investor from waiting. The market should watch two things. First, whether DWS injects additional capital into RREEF in the second half of 2026. A second capital injection would signal that the sponsor is willing to backstop the fund through the cycle. The absence of one would signal that DWS is letting the fund shrink to its natural size. Second, watch the pace of asset sales.

If RREEF begins selling properties at a discount to NAV to meet redemptions, the valuation floor for comparable assets in those markets will shift. Nontraded REITs are not broken. They are structurally constrained. The constraint is not a failure of underwriting. It is a mismatch between the liquidity investors expect and the liquidity the assets can deliver. That mismatch does not disappear when the market improves.

It is embedded in the product design. The RREEF filing is not a crisis. It is a reminder that the liquidity promise in a nontraded REIT is always conditional. The condition is time. And time is the one thing that investors who want their cash back do not have.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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